



Leonardo SpA (BIT: LDO)

A European Defense Champion

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Summary: We initiate coverage on Leonardo SpA (BIT: LDO) with a **BUY** and a 12-month target price of **€65**, ~26% above the current €51.62. Leonardo sits at the intersection of three durable forces: the largest peacetime expansion of European defense spending since the Cold War, a management-executed industrial transformation that has begun to close the margin gap to peers, and a portfolio of long-duration, high-value programs (GCAP, the helicopter aftermarket, DRS submarine propulsion) that the market still misprices. FY2025 was an inflection: revenue of €19.5bn (+11%), EBITA of €1.75bn (+18%), ROS up to 9.0%, FOCF through €1bn, and net debt down 44% to €1.0bn, every line beating upgraded guidance. The new 2026-2030 plan targets €30bn of revenue and ~€3.6bn of EBITA (~12% ROS) by 2030, and S&P upgraded the group to BBB in April 2025. We see the re-rating gated on three near-term proofs: the Aerostructures JV signing (guided end-June 2026), double-digit ROS delivery in 2026, and Saudi accession to GCAP. Principal risks are Aerostructures execution, GCAP political friction, and the governance overhang from the 30.2% MEF stake.

1 Recommendation

Rating: BUY | **Target Price:** €65 | **Horizon:** 12 Months

We initiate coverage on Leonardo with a BUY. The thesis is straightforward: a fundamental re-rating, driven by margin expansion, backlog visibility, and the European defense supercycle, that current valuation does not reflect. At ~20x forward P/E and ~12x EV/EBITDA, Leonardo trades at a discount to BAE Systems (~24x P/E) and Thales (~21x P/E), and below the European A&D peer average on EV/EBITDA. We think that discount is only partially deserved and compresses as management converts the plan

into reported numbers, which it has now done for three consecutive years, FY2025 beating upgraded guidance on every line.

Our €65 target is the output of a blended framework: a DCF (45%), trading comparables (40%), and precedent transactions (15%), detailed in Section 4. The base case rests on three assumptions we regard as well-supported rather than heroic: (i) revenue compounding broadly in line with the 2026–2030 plan; (ii) group ROS extending from 9.0% in FY2025 to double digits in 2026, as guided and reiterated at Q1; and (iii) the Aerostructures JV signed by end-June 2026.

2 Company Update

2.1 FY2025 Results

Leonardo closed FY2025 well above its upgraded guidance, completing the three-year transformation launched in 2022. Revenues reached €19.5bn (+10.9% YoY), EBITA rose to €1,752m (+18.2% on a like-for-like basis), and Free Operating Cash Flow crossed the €1bn threshold for the first time at €1.0bn (+20.5%). New orders came in at €23.8bn (+14.5%), with a book-to-bill of 1.2x and a year-end backlog of €46.6bn.

Group ROS improved to 9.0%, up from 8.4% on a like-for-like basis in 2024, the first visible step in the margin-expansion path that anchors our thesis. The result is not a forecast: it is reported delivery, and it lands ahead of the trajectory implied by the Industrial Plan.

Net debt fell to €1.0bn at year-end, down 44% from €1.8bn and inside the ~€1.1bn guidance, taking ND/EBITA to ~0.6x. Deleveraging was helped by stronger cash and the €446m disposal of the Underwater Armaments & Systems business to Fincantieri. The balance-sheet repair earned a reward in April 2025, when S&P upgraded Leonardo to BBB (stable) from BBB-, broadening the eligible institutional base.

Key Metrics (FY2025A)	Value
Ticker	BIT: LDO
Revenue	€19.5bn (+11% YoY)
EBITA	€1,752m (+18.2% YoY)
ROS (EBITA Margin)	9.0%
Net Result (adj.)	€1,015m (+18.6% YoY)
FOCF	€1.0bn (+20.5% YoY)
Net Debt	€1.0bn (ND/EBITA 0.6x)
New Orders	€23.8bn (+14.5% YoY)
Order Backlog (YE 2025)	~€46.6bn
Book-to-Bill	1.2x
S&P Rating	BBB (stable), upgraded Apr 2025
Dividend per Share	€0.63 (+21% YoY)
State Ownership (MEF)	30.2%
Employees	62,700

Table 1: Leonardo SpA: Key Financial & Operating Metrics. Source: Leonardo FY2025 Results

Management raised the dividend 21% to €0.63 per share, the second consecutive sharp step after the 90% hike to €0.52 in 2024. Two outsized increases in a row are not the behavior of a board that views the cash-flow improvement as cyclical.

2.2 The 2026–2030 Industrial Plan

Alongside FY2025 results, Leonardo presented an upgraded 2026–2030 plan on 12 March 2026, and the targets stepped up materially from the prior 2025–2029 framework. Cumulative new orders are now guided to €142bn (from €118bn), 2030 revenue to €30bn (a ~9% CAGR off the €19.5bn 2025 base), and 2030 EBITA to ~€3.6bn, roughly double the 2025 level and implying a ~12% ROS. FOCF is guided to double to ~€2.06bn by 2030, with ~€8bn of cumulative free cash over the plan.

The margin bridge rests on four levers, each already visible in reported numbers rather than promised. Volume leverage on a largely fixed overhead base is the primary mechanical driver as backlog converts to deliveries. A €1.8bn gross savings program provides cost-side support. Aerostructures resolution removes a recurring drag. And mix improves as the higher-margin Electronics and Helicopters franchises outgrow the group. Layered on top is the Michelangelo Dome, a multi-domain integrated-defense initiative management sizes at ~€6bn of opportunity within the plan and a further ~€15bn into 2031–2035, none of which sits in consensus today.

We read the plan as credible precisely because the 2025 starting point beat the old trajectory. The headcount build, from 62,700 in 2025 toward ~75,500 by 2030, is consistent with a com-

Division	FY2025 Revenue	YoY	Margin profile
Defence Electronics & Security (incl. DRS)	€8.4bn	+10.1%	Strong, group margin leader
Helicopters	€5.8bn	+11.1%	High, with ROS ~9–10%
Aeronautics (Aircraft, GCAP, Aerostructures)	€4.2bn	+11.1%	Mixed, Aerostructures drag
Cyber & Security	€0.8bn	+23.1%	Growing fastest in the group
Space (incl. Telespazio)	~€0.9bn	growth	Mixed, having services up, manufacturing recovering

Table 2: Leonardo operating divisions: FY2025 revenue, growth and margin profile. From 2025 the group reports five sectors, with Defence Electronics & Security consolidating Leonardo DRS, and Aircraft, GCAP and Aerostructures grouped within Aeronautics. Iveco Defence (acquired March 2026) adds a land-systems vertical. The Italian MEF holds 30.2%. Source: Leonardo FY2025 Results.

pany scaling delivery into a contracted backlog, not chasing speculative demand.

2.3 2026 Guidance and Q1 Print

For 2026, management guides to ~€25bn of orders, ~€21bn of revenue, ~€2.03bn of EBITA (ROS ~9.7%), and ~€1.11bn of FOCF, with net debt of ~€0.8bn that explicitly excludes the Iveco cash outflow. Iveco is expected to contribute €1.1bn of revenue and €0.12bn of EBITA over April–December.

The first-quarter print, released in May, confirmed the trajectory: orders of €9.0bn (+31%), revenue of €4.4bn (+7%), and EBITA of €281m (+33%), with guidance reaffirmed. Free cash was €-411m, but Leonardo's FOCF is structurally H2-weighted, so a Q1 outflow is the normal seasonal shape rather than a warning. The book-to-bill above 2x in the quarter underlines that order intake is still running well ahead of revenue.

2.4 LRMV, First Contract Awarded

The Leonardo Rheinmetall Military Vehicles joint venture, 50/50 between the two parents, became operational in early 2025 and secured its first Italian Army contract in November 2025: 21 A2CS Combat vehicles based on the Lynx platform. The full program targets around 400 Main Battle Tanks and more than 1,000 AICS infantry fighting vehicles.

Most consensus models still treat LRMV as optionality. The November award converts it into a revenue-generating reality. Our read is that it adds roughly €1bn of revenue upside over the plan period, plus export optionality beyond that. Just as importantly, the LRMV margin profile is structurally better than Aerostructures, so every incremental award also helps the group mix.

2.5 GCAP and the Edgewing JV

Edgewing, the joint venture vehicle for the Global Combat Air Programme, was formally established in June 2025. Leonardo, BAE Systems, and Japan's industrial consortium each hold 33.3%. The demonstrator flight is targeted for 2027, with in-service in 2035 and service life extending beyond 2070.

Two things matter here, and both are underappreciated. First, Leonardo leads the integrated sensor and communications system, which is the most technically intensive role in the program, not a metal-bending workshare. Second, the competing FCAS program (France, Germany, Spain) hit public trouble at the end of 2025 when Dassault's CEO openly questioned its viability. If FCAS does not reconstitute quickly, GCAP becomes the only credible European 6th-generation fighter. That alone raises the probability that Saudi Arabia, currently in active talks, joins as a fourth partner nation. The program economics scale non-linearly with each new partner.

2.6 Aerostructures JV Process

Aerostructures, which builds Boeing 787 fuselage sections and ATR nacelles, is the single largest drag on group margins, with a FY2024 EBITA loss of ~€151m; from 2025 it is reported within the new Aeronautics sector. After more than fourteen months of due diligence, Leonardo guides to sign a 50/50 joint venture by end-June 2026, the timeline set by the expiry of the exclusivity clause. The partner is undisclosed for confidentiality but widely reported to be Saudi Arabia's Public Investment Fund, described by management as both financial and industrial. The venture launches 50/50, with the partner able to raise its stake over time as staff are trained, components certified, and activity transferred, likely including a new plant in the partner's country.

Management indicates it would roughly triple Leonardo's addressable aerostructures market, lift the group into the global top three, and show a positive impact on the 2026 balance sheet. Boeing 787 output has recovered to ~7 aircraft per month, though management still expects the unit to be loss-making in 2026 even with the deal in train. The signing itself is the catalyst: it removes the primary bear-case overhang in a single event, and we think the market has under-priced management's credibility here given the delivery on LRMV, Edgewing, the Iveco close, and successive plan upgrades.

2.7 New Growth Vectors

The largest new building block is already on the balance sheet: in March 2026 Leonardo closed the €1.6bn all-cash acquisition of Iveco Defence Vehicles, taking it from electronics supplier to vertically integrated land-systems prime across the Centauro II, VBM Freccia, and Astra fran-

chises. IDV added ~€1.4bn of revenue and ~2,000 staff, dovetails with the LRMV venture, and was struck at roughly 2x EV/EBITDA, accretive on our numbers. Management is reportedly weighing a sale of the IDV truck unit to Rheinmetall, which would sharpen the portfolio.

Two earlier initiatives round out the optionality. The Leonardo-Baykar JV targets a European-certified UAV platform that pairs Baykar's combat-drone record with Leonardo's mission systems and certification, addressing the fastest-growing segment in defense procurement. Separately, the Leonardo Hypercomputing Continuum extends the sensor franchise into AI and battlefield data management, a logical move up the value chain into the data layer. Both are pre-revenue, but together with Iveco they broaden the story well beyond the portfolio.

3 Investment Thesis

3.1 Core Thesis

Leonardo sits at the intersection of three forces. The first is the largest peacetime European defense spending expansion since the Cold War. The second is a management-executed industrial transformation that is visibly compressing the margin gap to peers. The third is a portfolio of long-duration programs (GCAP, helicopter aftermarket, DRS submarine propulsion) that the market has historically discounted on governance and Aerostructures noise. Take the three together and the risk/reward is meaningfully asymmetric.

Three years of consistent backlog growth, margin improvement, and balance-sheet repair have changed the quality of the earnings profile, and FY2025 put it beyond debate: revenue, EBITA, ROS, cash flow, and net debt all beat upgraded

guidance. A backlog of $\sim\text{€}46.6\text{bn}$ at year-end (contracts already signed but not yet delivered or recognized in revenue) provides roughly 2.5 years of cover, and book-to-bill has run between 1.2x and 1.7x across recent reporting periods. The debate has moved on. The question is no longer whether revenues grow, they will, from contracted backlog, but whether margins scale with them.

At $\sim 20\text{x}$ forward P/E and $\sim 12\text{x}$ EV/EBITDA, the stock trades below BAE Systems ($\sim 24\text{x}$ P/E, $\sim 14\text{x}$ EV/EBITDA) and Thales ($\sim 21\text{x}$ P/E, $\sim 13\text{x}$ EV/EBITDA), and well under the rearmament-premium names like Rheinmetall and Saab. The discount versus BAE is partly fair, reflecting state ownership and portfolio complexity. The discount versus Thales, a comparable diversified prime with a similar ROS profile, is harder to defend. Closing even part of that gap as 2026 ROS reaches double digits implies meaningful upside before any contribution from earnings growth.

3.2 Pillar I. European Defense New Investments

The macro catalyst chain is now well-established. Russia's 2022 invasion of Ukraine shattered post-Cold War security assumptions. The US disengagement under the Trump administration has forced Europe to internalize its defense responsibility, and this more than clear now after the escalation in the Middle East. The NATO Hague Summit of June 2025 codified a new benchmark of 3.5% of GDP for core defense spending, effectively a doubling of the previous 2% target.

Italy currently spends around 1.5% of GDP on defense, one of the largest absolute budget gaps among major NATO members. The multi-year spending ramp falls disproportionately on

Leonardo as Italy's sole A&D prime, and the Italian government has been explicit about prioritizing domestically produced systems over US off-the-shelf procurement. At EU level, the European Defence Fund and the European Defence Industrial Programme, both active from 2025, add further co-funding for European-led programs where Leonardo is a prime contractor.

Where consensus appears to underprice the story is the Italy-specific dynamic. Most models bake in a generic European tailwind. Few seem to fully reflect either the absolute size of Italy's gap or the domestic-preference direction of travel. Order intake upside over 2025 to 2028 looks well flagged to us, but still underestimated.

3.3 Pillar II. Backlog and Revenue Visibility

The order backlog is the single most defensible element of the case: $\sim\text{€}46.6\text{bn}$ at year-end 2025 ($\text{€}47.3\text{bn}$ at 9M), with the plan guiding it structurally higher as cumulative orders reach $\text{€}142\text{bn}$ through 2030. Book-to-bill printed 1.7x in Q1 2025, 1.4x at 9M, and above 2x in Q1 2026, on a steadily larger revenue base. FY2025 new orders of $\text{€}23.8\text{bn}$ (+14.5%) confirm the book is being replenished faster.

The quality of the backlog also matters. Long duration sovereign contracts dominate, regarding the Eurofighter sustainment, GCAP development, helicopter fleet contracts, and Italian Army renewal via LRMV. The commercial helicopter book adds volume with a multi-year structure, given platform lead times and certification cycles. Revenue visibility of this quality is rare in the European industrial universe and, in our view, argues for a multiple closer to the sector leaders.

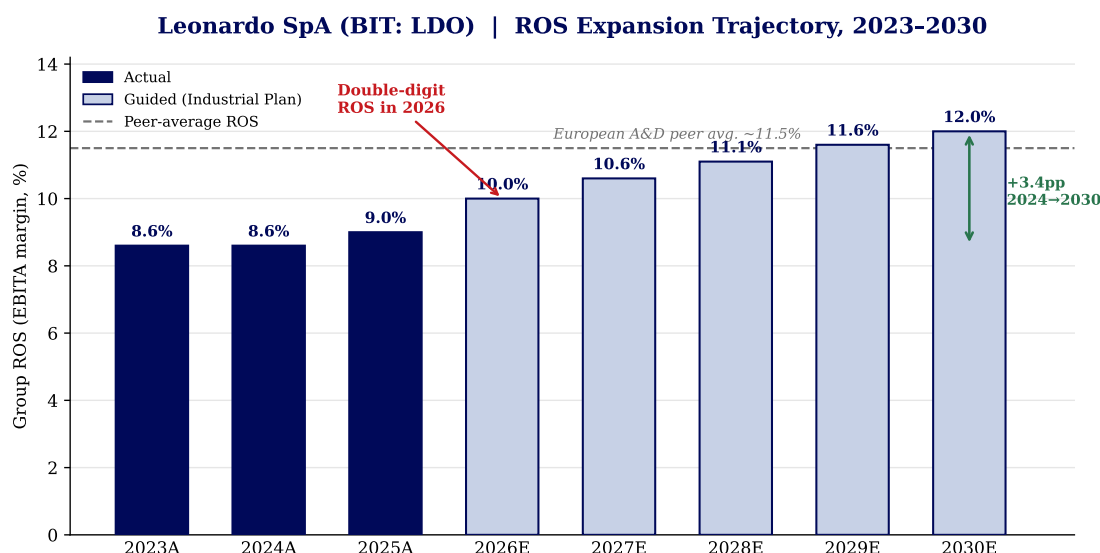


Figure 1: Leonardo group ROS (EBITDA margin): 9.0% in FY2025 toward a double-digit target in 2026 and ~12% by 2030. Solid bars are actuals; lighter bars follow the 2026–2030 Industrial Plan. Source: Leonardo FY2025 Results and 2026-2030 plan; peer average indicative.

3.4 Pillar III. Margin Expansion

This is the analytically richest part of the thesis and the pillar most likely to drive re-rating. Group ROS sat at 8.6% in FY2024 and improved to 9.0% in FY2025, the first reported step in the convergence toward peers that trade at double-digit margins. The 2026-2030 plan guides to double-digit ROS in 2026 and ~12% by 2030, with EBITA roughly doubling to ~€3.6bn.

The levers are layered, which is why we find the target credible. Volume leverage on fixed overhead is the primary mechanical driver as backlog converts to deliveries. The €1.8bn gross savings program, of which €191m was delivered in FY2024, provides cost-side support. Aerostructures rationalization removes a recurring ~€151m (FY2024) annual EBITA headwind. Business mix improves naturally as Electronics (€4.8bn, +9.4%) and Helicopters (€5.2bn, +11%) grow faster than the group average and carry structurally higher margins, improving the overall condition of the organic growth that Leonardo has.

The arithmetic is straightforward. Moving from 9.0% toward 10%+ group ROS on a revenue base climbing past €21bn adds several hundred million of annual EBITA versus current levels. On a static EV/EBITDA multiple, that alone justifies material share-price appreciation, before any multiple re-rating that should follow the quality improvement. The savings program is the controllable lever; the Aerostructures fix is the binary one; mix and volume do the rest.

3.5 Pillar IV. Balance Sheet and Cash Conversion

Leonardo has meaningfully delevered. Net debt fell from €3.0bn at end-2022 to €1.8bn at end-2024, and then to €1.0bn at end-2025, a 44% reduction in a single year that beat guidance and took ND/EBITDA to ~0.6x. S&P rewarded the trajectory with a full upgrade to BBB (stable) in April 2025; the next leg, BBB to BBB+, would broaden the credit-sensitive investor base further.

The €1.0bn figure precedes the €1.6bn Iveco acquisition closed in March 2026 and funded

from cash. Pro-forma, net debt rises to $\sim\text{€}2.6\text{bn}$ ($\sim 1.5\times$ EBITA), still comfortably investment-grade and well within what a defense prime of this scale carries. The asset was bought at roughly $2\times$ EV/EBITDA, so it is accretive: the balance sheet absorbs the cash, but the earnings it brings substantially offset the drag.

FOCF crossed $\text{€}1.0\text{bn}$ in FY2025 (+20.5%) and the plan targets a doubling to $\sim\text{€}2.06\text{bn}$ by 2030, with $\sim\text{€}8\text{bn}$ cumulative, evidence that cash conversion is becoming a structural feature rather than a recurring disappointment. The dividend was raised again, 21% to $\text{€}0.63$, after the 90% hike to $\text{€}0.52$ the year before, and a buyback began in May 2026. Two outsized dividend steps plus a buyback is not the capital-return profile of a management team that doubts its own cash trajectory.

3.6 Pillar V. GCAP, Long-Duration Option Value

GCAP is arguably the most valuable long-duration strategic option in the portfolio, and the one the market knows least how to price. As equal co-prime alongside BAE and Japan in the Edgewing JV, Leonardo develops what is currently the only credible European 6th-generation fighter program. The competing FCAS (France, Germany, Spain) hit public trouble at end-2025 when Dassault's CEO questioned its viability; if it does not reconstitute quickly, GCAP becomes the default European platform.

Leonardo's specific role, leading the integrated sensor and communications system, is the most technically intensive component of the aircraft. Service life extends beyond 2070, which implies more than 35 years of maintenance, upgrade, and support revenue from in-service entry in

2035. Saudi Arabia's active interest in joining as a fourth partner nation would expand both production volume and export reach, at minimal incremental R&D cost to existing partners.

Most sell-side DCFs operate on 10-year horizons. GCAP's long-tail cash flow stream is effectively absent from those models. That is the mispricing. An investor comfortable with a 5+ year horizon is essentially buying a call option on four decades of post-2035 revenue at minimal explicit cost.

3.7 Pillar VI. Rationalization of their Portfolio

Aerostructures remains the clearest structural drag on group margins, with a FY2024 EBITA loss of $\sim\text{€}151\text{m}$ driven by Boeing 787 disruptions: quality issues, the April 2024 safety-falsification scandal, and subsequent rate cuts. From 2025 it sits within the new Aeronautics sector, and while Boeing 787 output has recovered to ~ 7 aircraft per month, management still expects the unit loss-making in 2026. The fix is the 50/50 JV with a partner widely reported to be Saudi Arabia's PIF, guided to sign by end-June 2026; it would structurally isolate the drag, roughly triple Leonardo's addressable aerostructures market, and, per management, show a positive 2026 balance-sheet impact.

In parallel, the new growth vectors are live. LRMV became a revenue stream with the November 2025 Italian Army contract, and the $\text{€}1.6\text{bn}$ Iveco close in March 2026 makes Leonardo a vertically integrated land-systems prime. Leonardo-Baykar addresses the fastest-growing segment in defense, and Hypercomputing Continuum extends the electronics franchise into AI and battle-field data. None is fully reflected in consensus, and each carries independent optionality.

3.8 Where the Market is Wrong

Four specific mispricings stand out. The first is the Italy-specific defense budget ramp. Italy's gap is larger in absolute terms than that of most European peers, and the 2025 to 2028 order intake upside is not fully reflected in consensus estimates. This is Leonardo-specific tailwind, not a sector-generic one.

The second is GCAP. The market prices the program as execution risk rather than as a revenue driver. The 35+ year post-2035 cash flow tail is effectively absent from 10-year DCFs, and potential Saudi accession adds unmodeled upside.

The third is Aerostructures. The market appears to discount management credibility on the fix timeline. The track record on LRMV formation, Industrial Plan upgrades, and dividend policy argues the opposite. If the JV closes by mid-2026 as guided, the group ROS calculation changes immediately, and the primary bear case disappears in a single event.

The fourth is the FCF trajectory, which is being priced as cyclical rather than structural. Historical disappointments have created a skepticism overhang. A 90% dividend increase is not the signal of a management team that views the FCF improvement as temporary.

3.9 Key Catalysts

Near-term, over the next 0 to 12 months, four events matter most. The Aerostructures JV signing, guided by end-June 2026, removes the primary bear-case overhang in a single announcement. Saudi accession to GCAP would expand program NPV for every industrial partner. Continued LRMV and Iveco order flow, scaling toward the full 400 MBT and 1,000+ AICS pro-

gram, converts land systems from optionality to run-rate. And each quarterly print is now a referendum on the double-digit ROS path, with Q1 already confirming the trajectory.

On a 12 to 36 month view, the list lengthens. Delivery of double-digit ROS in 2026 is the single most important milestone for a structural re-rating; multiple expansion tends to follow quality improvement with a lag. GCAP demonstrator flights, targeted for 2027, would reduce the execution-risk discount. A further credit step to BBB+ (after the April 2025 upgrade to BBB) would widen the eligible investor base. And the first Leonardo-Baykar export contracts would prove up a high-growth adjacent market absent from consensus today.

4 Financial Information & Valuation

4.1 Financial Summary

The table below consolidates the historical and forward-looking metrics used as the starting point for the valuation. FY2025 figures are reported actuals; FY2026E blends the Industrial Plan trajectory with Refinitiv consensus.

(€m, unless stated)	FY2023A	FY2024A	FY2025A	FY2026E
Revenue	15,291	17,763	19,500	~21,500
EBITA	1,316	1,525	1,752	~2,150
ROS (%)	8.6%	8.6%	9.0%	~10.0%
EBITDA	1,540	2,250	~2,500	~2,700
Net Income	658	1,074	1,015	~1,300
FOCF	651	826	1,000	~1,050
Net Debt	2,497	1,795	1,000	~1,150

Table 3: Leonardo Financial Summary. FY2025 are reported actuals (Net Income shown adjusted). Source: Leonardo FY2025 Results (12 March 2026); Refinitiv consensus (10 May 2026).

4.2 DCF Analysis

Our base-case DCF returns ~€62 per share standalone, or ~€59 pro-forma for Iveco. We discount five years of explicit free cash flow (2026–2030) at a 7.2% WACC and apply a 10.0x exit

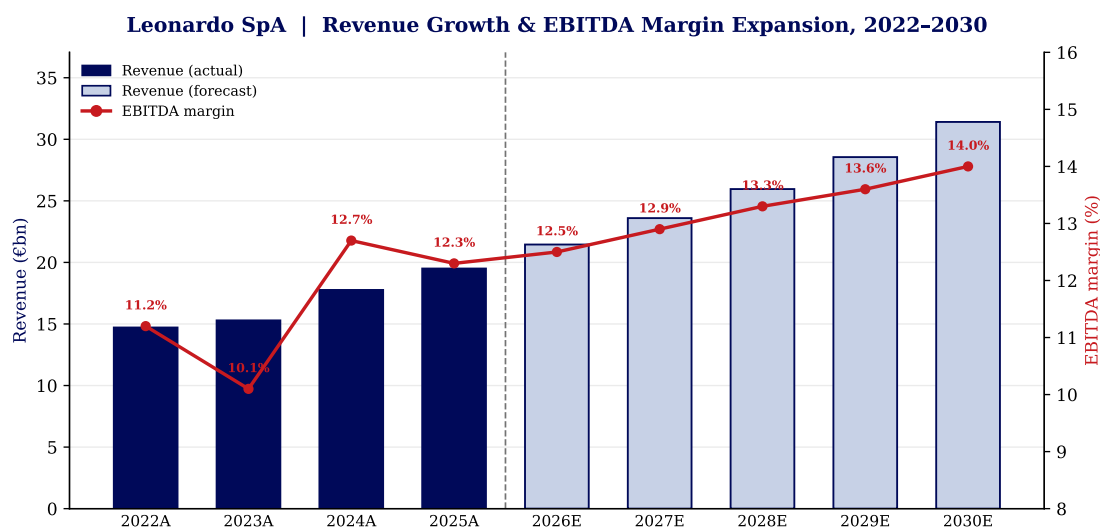


Figure 2: The dual engine of the model: revenue compounding ~9% to €30bn+ by 2030 alongside EBITDA margin expansion from 12.3% (FY2025) to 14.0%. Source: model; Leonardo FY2025 Results and 2026–2030 plan.

EV/EBITDA multiple to terminal-year EBITDA, below the current peer median and therefore embedding only modest re-rating. The bridge to equity uses FY2025 net debt of €1.0bn; adjusting for the €1.6bn Iveco cash outflow lifts pro-forma net debt to ~€2.6bn and trims the implied value to ~€59. We treat that as conservative, since our explicit projections exclude Iveco's ~€1.4bn of revenue, and the asset was acquired at ~2x EV/EBITDA, so its earnings substantially offset the cash drag.

The cash-flow build rests on three judgments. Revenue compounds at roughly 9 to 10% per year, consistent with the ~€46.6bn backlog and the plan's path to €30bn of revenue by 2030. The EBITDA margin widens from ~12.5% to 14.0% as volume leverage and the Aerostructures fix flow through. Capex holds near 4.5% of revenue and cash conversion (OCF/EBITDA) normalizes around 78%. Terminal value is ~84% of enterprise value, high in absolute terms but typical for a long-duration program portfolio where most GCAP and helicopter aftermarket economics fall beyond the explicit window.

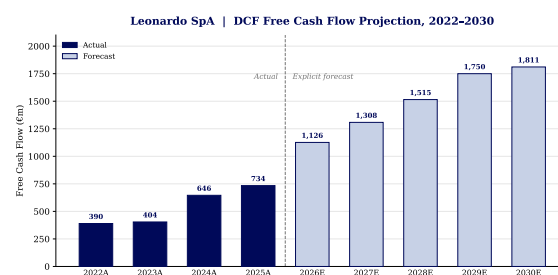


Figure 3: Free cash flow ramp underpinning the DCF: from €734m in FY2025 to ~€1.8bn by 2030, with FCF/EBITDA rising from ~31% to ~45%. Source: model; Leonardo FY2025 Annual Report.

DCF Parameter	Value
Risk-free rate (10Y Bund)	2.8%
Equity risk premium (Damodaran)	5.2%
Levered beta	1.15
Cost of equity (CAPM)	8.8%
Pre-tax cost of debt	4.0%
Effective tax rate	19.1%
After-tax cost of debt	3.2%
WACC	7.2%
Terminal growth (perpetuity)	3.5%
Exit EV/EBITDA multiple	10.0x
Revenue CAGR (2026–2030)	10.0%
Terminal EBITDA margin	14.0%
Implied EV (€m)	~37,000
Implied price, standalone (€)	~62
Implied price, pro-forma Iveco (€)	~59

Table 4: DCF key assumptions and output. Source: model; market inputs via Bloomberg/Refinitiv, March-May 2026.

The output is sensitive but stable across a reasonable parameter grid. Flexing the WACC between

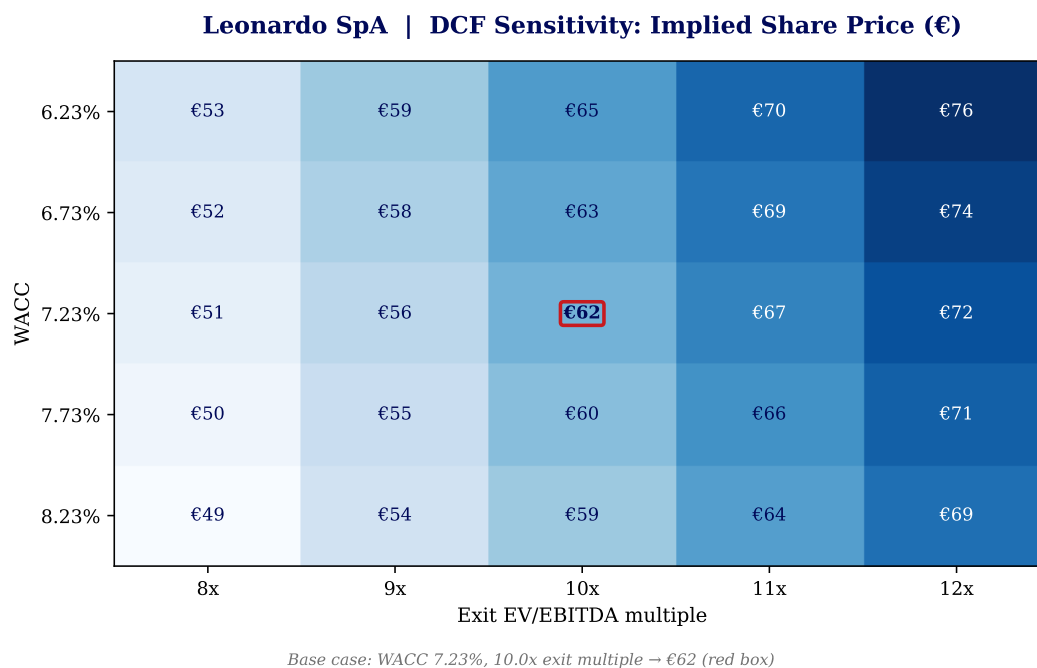


Figure 4: DCF sensitivity of the implied standalone share price to WACC and exit EV/EBITDA multiple. The grid corners frame the scenarios: The bottom left cell, a WACC of 8.2% paired with an 8.0x exit multiple, implies €49, which is the bear case in which Leonardo fails to deliver on the ROS trajectory and the market refuses to award any multiple re-rating. The top-right cell (€76) is the mirror-image bull case, where double-digit ROS lands on schedule and the multiple converges toward peers. Our €62 base case sits at the center, on a WACC of 7.2% and a 10.0x exit, deliberately below the peer median so the valuation does not depend on a re-rating that has not yet been earned. Source: model.

6.7% and 7.7% and the exit multiple between 9.0x and 11.0x produces a range of roughly €55 to €69 per share, with the base case at €62. The bottom-left corner of the grid frames the bear case: a WACC of 8.2% and an 8.0x exit multiple imply €49, the scenario in which Leonardo fails to deliver on the ROS trajectory and the market refuses to re-rate the multiple. The top-right corner (€76) is the bull case, where double-digit ROS lands on schedule and the multiple converges to peers. The valuation is most sensitive to the terminal multiple and the sustained margin assumption, both of which hinge on the same variable the equity story turns on: ROS convergence toward double digits.

4.3 Precedent Transactions

We screened eight European and US aerospace and defense control transactions, including

Parker-Hannifin/Meggitt, Northrop Grumman/Orbital ATK, Advent/Cobham, BAE/Ball Aerospace, and L3Harris/Aerojet Rocketdyne. After excluding deals without disclosed EBITDA, the set yields a median EV/EBITDA of 16.6x and a mean of 17.2x. Applied to Leonardo's near-term EBITDA, the selected median-to-mean range implies €68 to €71 per share.

We treat this as a supporting cross-check rather than a primary anchor, and weight it accordingly. Acquisition multiples embed a control premium that a minority equity holder does not capture, and Leonardo's 30% MEF ownership makes the company a structural acquirer rather than a plausible target. The method is useful for bounding what the asset base is worth to a strategic buyer in a consolidating sector, but it overstates standalone fair value.

4.4 Trading Comparables Analysis

The trading comparables are our most relevant market-based anchor. We built a ten-name European A&D peer set from the STOXX Europe Aerospace & Defense index, deliberately excluding US primes whose procurement economics and structurally higher multiples would bias the benchmark upward. Peers are grouped into three tiers by business-mix similarity and combined with fixed weights: Tier 1 (BAE Systems, Thales) at 60%, Tier 2 (Rheinmetall, Saab, Safran, Hensoldt) at 30%, and Tier 3 (Airbus, MTU, Rolls-Royce, Dassault) at 10%.

Tier 1 carries the most weight because BAE and Thales are the only European names with a genuinely comparable diversification profile across aeronautics, defense electronics, naval, and cyber. The Tier 2 cap at 30% prevents the rear-mament premium names (Rheinmetall, Saab) from distorting the benchmark. This produces a weighted-average EV/EBITDA FY+1 of 14.6x and P/E FY+1 of 26.2x.

Leonardo trades at 12.0x EV/EBITDA FY+1

Company	Tier	EV/EBITDA FY+1	P/E FY+1
BAE Systems	1	13.7x	23.5x
Thales	1	12.9x	21.3x
Rheinmetall	2	18.0x	33.2x
Saab	2	21.3x	37.5x
Safran	2	15.5x	27.9x
Hensoldt	2	17.5x	39.5x
Airbus	3	13.5x	24.7x
MTU Aero Engines	3	9.2x	16.5x
Rolls-Royce	3	20.5x	32.6x
Dassault Aviation	3	12.8x	18.8x
Weighted Average	—	14.6x	26.2x
Leonardo (LDO)	—	12.0x	23.1x

Table 5: European A&D peer multiples. Source: Refinitiv Workspace, 10 May 2026.

against the 14.6x weighted benchmark, a discount of roughly 2.7 turns, or ~18%. Applying the Tier 1 median (13.3x), the weighted average (14.6x), and the Tier 2 median (17.8x) to consensus FY+1 EBITDA produces implied values of €62, €68, and €83 respectively. The P/E cross-check is directionally consistent, with a central value near €62. Part of the discount is fair, reflecting the below-peer margin and the state-ownership overhang, but the magnitude overstates the steady-state gap. We see meaningful compression as margin convergence shows up.

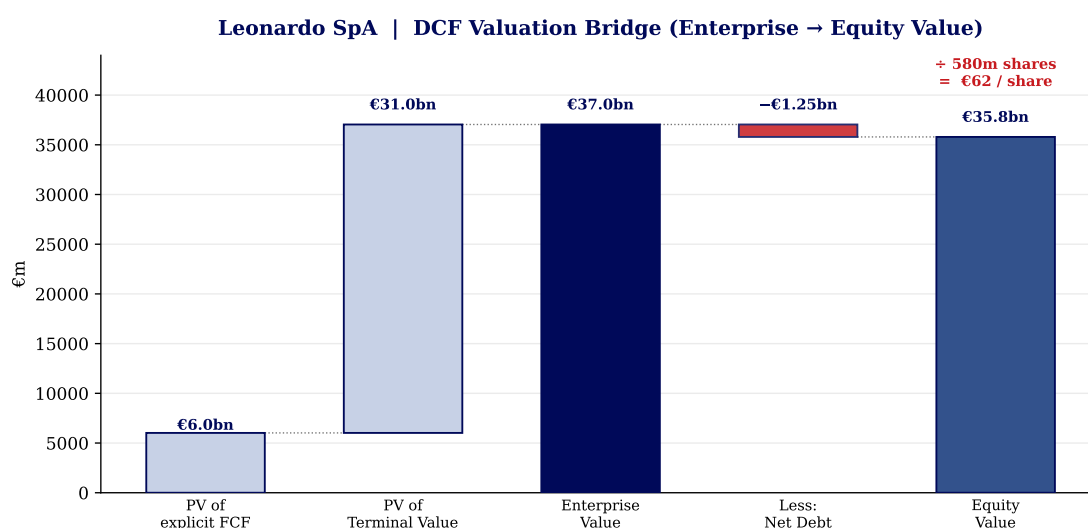


Figure 5: DCF bridge from enterprise to equity value: €6.0bn PV of explicit FCF plus €31.0bn PV of terminal value gives a €37.0bn EV; net of €1.25bn net debt, equity value is €35.8bn, or ~€62/share standalone. Source: model.

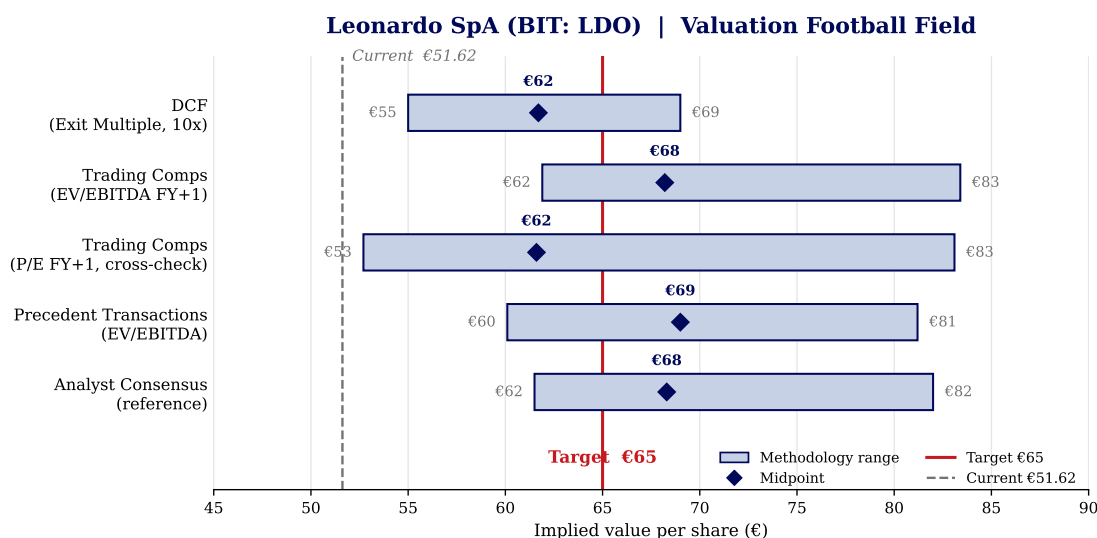


Figure 6: Leonardo SpA Valuation Football Field. Methodology ranges, midpoints, €65 target, and €51.62 reference price. Source: model outputs; Refinitiv consensus (10 May 2026).

4.5 Blended Valuation and Target Price

We set a 12-month target of €65 per share, a weighted blend that leans on the DCF and trading comparables and treats precedent transactions as a cross-check. We weight the DCF at 45% (€62 standalone; ~€59 pro-forma Iveco, the earnings offsetting most of the cash drag), trading comparables at 40% (€68 mid-case EV/EBITDA), and precedent transactions at 15% (€69). The result rounds to €65, ~26% above the €51.62 reference and just below the ~€66.6 sell-side consensus average, a stance we regard as appropriately conservative for an execution-dependent re-rating.

The football field below shows the convergence. Methodology midpoints cluster between €59 and €69, and the €65 target falls inside all five ranges, including the analyst-consensus reference. The case hinges on Leonardo delivering the margin trajectory it has already begun to report.

5 Key Risks

The following risk factors are material to the investment thesis and should be monitored closely. They do not invalidate the BUY recommendation under our base case, but each has the potential to delay the re-rating timeline or impair the earnings trajectory.

5.1 Aerostructures Drag

Failure to sign the Aerostructures JV by the guided end-June 2026 date, or to execute it cleanly thereafter, would preserve the ~€151m (FY2024) annual EBITA drag and delay ROS convergence to peers. Boeing's 787 recovery pace, now ~7 aircraft per month, is an uncontrollable external variable. This is the highest-significance risk in our framework: it is the primary overhang limiting multiple expansion, and management itself expects the unit loss-making in 2026 even with the deal done.

5.2 GCAP Execution and Political Risk

UK-Italy-Japan disagreements on intellectual property allocation, workshare distribution, and export policy could delay the program or reduce Leonardo's revenue entitlement. Structural IP negotiations are expected to intensify during the design development phase (2025–2030), creating periods of headline risk. A delay to the 2035 initial operational capability target would materially impair the long-tail option value embedded in the GCAP position.

5.3 State Ownership and Governance Overhang

The Italian Ministry of Economy and Finance's 30.2% stake means capital allocation and strategic decisions require government alignment. Industrial policy considerations can override commercial logic, as was partially visible in the initial LRMV JV formation process. This is a persistent discount factor in international capital markets and is unlikely to resolve in the near term. It will remain a constraint on the achievable multiple relative to fully private peers.

5.4 Margin Execution Risk

The path from 9.0% toward double-digit ROS requires simultaneous delivery on volume, cost saves, Aerostructures resolution, and favorable mix evolution. Any macro shock, supply-chain disruption, a European budget sequester, or program delays, could push out the trajectory. We would monitor quarterly ROS progression as the primary leading indicator; Q1 2026 (+33% EBITA) is an encouraging first data point.

5.5 DRS US Market Scale Constraints

Leonardo DRS competes against L3Harris, Leidos, and Northrop Grumman, entities 5 to 6 times its revenue scale. Organic growth is inherently limited to existing niches. Any tightening of "Buy American" policy preferences could add procurement friction to DRS's addressable market without providing corresponding opportunity for the EU parent.

5.6 H160 Competitive Threat

Airbus Helicopters' H160 is the most credible long-term structural threat to the AW139's medium-twin dominance. The H160 installed base is growing and Airbus's broader civil aviation relationships provide meaningful sales leverage in commercial markets. Leonardo's after-market moat is durable but not permanent, and should be monitored as the H160 replacement cycle accelerates.

5.7 Iveco Defence Integration

Leonardo completed the €1.6bn all-cash acquisition of Iveco Defence Vehicles in March 2026, funded entirely from balance-sheet cash. The deal makes Leonardo a vertically integrated land-systems prime and dovetails with the LRMV joint venture, but it carries the usual M&A execution risk: realizing the targeted electronics-into-platform synergies, integrating ~2,000 employees across six manufacturing sites, and avoiding margin dilution from a business whose ROS profile is below the group's higher-value electronics and helicopter segments. The cash outflow also lifts pro-forma net debt to ~€2.6bn (~1.5x EBITA) from €1.0bn, partially reversing the deleveraging narrative, though the asset was

acquired at roughly 2x EV/EBITDA and is accretive on our numbers. We would watch the first post-close segment disclosures for evidence that IDV is margin- and cash-accretive on the guided timeline.

5.8 Geopolitical De-Escalation

A negotiated resolution to the Russia-Ukraine conflict could slow European defense budget growth trajectories, even if spending remains structurally above pre-2022 levels. This is the primary macro bear case, though the institutional momentum behind NATO's 3.5% GDP target and the strategic shift in European security posture make a rapid near-term reversal unlikely over the 3–5 year investment horizon.

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